

many tests and results in this book, since including them would have made it unnecessarily long.

Overconfidence

“Well, I think we tried very hard not to be overconfident, because when you get overconfident, that's when something snaps up and bites you.”

—Neil Armstrong

DIY is great for some people, but we aren't the average person. We're exceptional and have the confidence in our own ability to beat a model. Sure, the model can add value, but the model merely serves as a guideline and serves as a floor on our ability. However, with some extra effort, and of course skill, we can leverage the model and combine it with our ability to attain remarkable performance. The logic is as follows: Models have been shown to outperform humans, but if we were to use the model selectively, we could surely add value.

Let's take an example from value investing. As we demonstrated in [Chapter 8](#), this has been a decent strategy. So let's say we run the model and come up with 50 stocks, which are classified as cheap or value stocks. We recommend equal-weighting these 50 stocks to get a diversified portfolio. However, we decide to read the annual financials from each company (10-Ks) and really think company X is the best buy. As opposed to following the model and putting 2 percent of our money into this company (equal-weight across 50 stocks), we decide that we are going to invest 100 percent in this one stock! After the stock has a 30 percent drawdown, we then add more money to this investment, as our overconfidence keeps growing! This is a dangerous game to play (and in general, a losing game, as all three of us can attest to). As this example illustrates, overconfidence in our own “edge” can be dangerous.

We want to warn potential DIY investors of becoming overconfident in one asset class and straying from the model. Even we have fallen into this trap in the past (before moving to a simple model)!